

PAGERO



Country Compliance Report: **Ecuador**

Information class: Restricted



Country Compliance Report: Ecuador

Report operational: 09 August 2023
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Content

Introduction and document purpose.....	4
1.Terminology	5
2.General overview	7
3.E-Invoice status	8
4.Before switching to e-invoices	9
4.1. IT registration	9
4.2. Process to switch to e-Invoicing.....	9
4.3. Outsourcing invoice issuance function	10
4.4. Outsourcing invoice receipt function	11
5.Document processing.....	12
5.1. Format and other technical requirements.....	12
5.2. Communication with SRI	13
5.3. Issuance and clearance process	13
5.3.1. Domestic documents.....	13
5.3.2. Cross-Border	14
5.4. Reception and validation process.....	14
5.4.1. Domestic documents.....	14
5.4.2. Cross-Border	15
5.5. AoR (response) process	15
5.6. SRI validations.....	15
5.7. Invoice presentation / copy	15

5.8. Distribution between taxpayers.....	16
5.9. Rectification process	16
5.10. Coexistence of paper and electronic invoices	16
5.11. Contingency invoicing	17
6.Document content requirements	18
6.1. Document types	18
6.2. Document numbering	18
6.2.1. Document numbering by the taxpayer.....	18
6.2.2. Additional document numbering	19
6.3. Indirect tax (IT) rates	19
6.4. Mandatory IT invoice content.....	20
6.5. Simplified invoice	23
6.6. Rectification document.....	24
6.7. Optional content	25
7.Integrity and Authenticity.....	26
7.1. e-Signature.....	26
7.2. e-Signature validation	27
8.Document retention	28
9.Other transactional documents.....	30
10.Other requirements.....	31
10.1. Penalties.....	31
10.2. E-reporting	31
10.3. AoR for invoices with factoring purposes	32
10.4. Penalties for non-compliance	32
11.Country-specific processing.....	34
11.1. Document issuance (AR) with Pagero.....	34
11.2. Document reception (AP) with Pagero	35
12.Closing statements	36
12.1. Confidentiality	36
12.2. Disclaimer	36
Revision history.....	37



Introduction and document purpose

Pagero provides a Smart Business Network that connects buyers and sellers for automated, compliant, and secure exchange of orders, invoices, payment instructions and other business documents. With an open network and a wide range of value-added apps, Pagero helps businesses streamline their order-to-cash and purchase-to-pay processes while unlocking the full potential of accurate and reliable business data. All of this, regardless of location, industry, size or systems.

At Pagero, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.



1.Terminology

This section outlines general and country-specific terminology for Ecuador, which will be used throughout the whole document.

Term	Explanation
Access Key	Set of alphanumeric characters that uniquely identify an Electronic Invoice. The access code is equivalent to the authorization number. The local name is "<i>Clave de Acceso</i>"
Contingency Operation	It defines the exceptional situations that could impede the normal course of the electronic invoicing cycle and for which specific actions are defined to be followed by the actors of the model in each situation.
Electronic Debit and Credit Notes	Electronic documents, of purely digital existence, produced by an electronic invoice issuer, containing corrections in electronic invoice information.
Electronic Invoice Clearance Response	Electronic invoicing is a way of issuing sales invoices, complying with the legal requirements for its authorization by SRI side, guaranteeing I&A of the content with the electronic signature of the issuer.
Electronic Signature	Electronic signatures are data in electronic form attached to or associated with a data message, which can be used to identify the holder of the signature in relation to the data message, and to indicate that the holder of the signature approves and acknowledges the information contained in the data message. The electronic signature replaces the written signature.
Electronic Tax Document	An electronic tax document is a document that complies with the legal and regulatory requirements for all sales, withholding and complementary documents, guaranteeing the authenticity of its origin and the integrity of its content. An electronic document will be legally valid as long as it contains an electronic signature. The local name is "<i>Comprobante electrónico</i>"

Free Electronic Invoice System Validation of e-invoice	Free e-invoicing system that is placed by SRI, available to taxpayers who are obliged to implement the issuance of electronic receipts. This invoicing tool allows to generate, sign electronically and send their vouchers for authorization by the SRI. Design specially for those small taxpayers.
RIDE	<i>"Representación Impresa del Documento Electrónico"</i> . It is the graphic representation of the electronic tax document.
SRI	<i>"Servicio de Rentas Internas"</i> . It is the tax authority in Ecuador, and the one who has the authority to impose obligations regarding electronic invoices.



2. General overview

This section provides an initial introduction into the local e-invoicing environment within Ecuador, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• SRI ("<i>Servicio de Rentas Internas</i>")
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• NAC-DGERCGC22-00000024 • NAC-DGERCGC22-00000010 • NAC-DGERCGC20-00000027 • NAC-DGERCGC18-00000431 • NAC-DGERCGC18-00000431 • NAC-DGERCGC18-00000233 • NAC-DGERCGC18-00000214 • NAC-DGERCGC18-00000175 • NAC-DGERCGC17-00000430 • NAC-DGERCGC17-00000460 • NAC-DGERCGC15-00003184 • NAC-DGERCGC17-00000430 • NAC-DGERCGC17-00000460 • NAC-DGERCGC15-00003184 • NAC-DGERCGC16-00000092 • NAC-DGERCGC16-00000287 • NAC-DGERCGC15-00000004



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Mandatory countrywide
Varying invoicing regimes¹	• No
e-Invoicing model	• Post-Clearance
e-Invoice definition²	• An electronic invoice is a document that complies with the legal and regulatory requirements for all sales invoices, guaranteeing the I&A by means of an electronic signature.
Scope of taxpayers the e-document mandate applies to	• All issuers and receivers of tax documents. • Popular businesses ("<i>Negocios Populares</i>") subject to RIMPE regime, are not required to implement e-invoicing.
Mandatory AoR (document response) process	• No
Implementation / roll-out plan	• E-invoicing started in 2014. • Since 30 November 2022, all taxpayers with RUC (whether natural or legal persons) shall only issue electronic documents

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



4. Before switching to e-invoices

4.1. IT³ registration

The VAT law (IVA law) in Ecuador does not contain any provision for voluntary VAT registration, as **there is no registration threshold**. The following are IVA taxable persons:

- Individuals or businesses doing transfers and/or import of goods.
- Individuals or businesses performing and/or importing services.

Scope of the tax:

- The supply of goods and/or services performed in Ecuador.
- The import of goods and/or services
- The supply of copyrights, industrial property and related (intellectual property)
- The import of digital services

Non-established businesses. If non-established businesses perform transactions on which VAT is levied to a customer in Ecuador, the local customer will be the one to account for VAT via reverse-charge mechanism.

Tax identification number format: The TIN in Ecuador is called RUC ("*Registro Único de Contribuyente*") and is composed of nine (9) digits

IVA is declared and paid on a monthly basis when transactions are taxed at a rate and/or when VAT withholdings are made.

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
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³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, IVA, etc.

Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• A digital certificate for electronic signature must be obtained previously from a certified entity • A bank account must be registered in SRI web portal. • Request for authorization to issue electronic receipts in a test environment. ◦ Enter to SRI web portal and click "<i>SRI en lined</i>". ◦ Within the menu "<i>Facturación Electrónica</i>", submenu "<i>Pruebas</i>", select the option "<i>Autorización</i>". ◦ Enter the RUC and password and then send the issuance request. ◦ A PDF will be generated indicating the approval or rejection of the request. ◦ Taxpayers can be in the test environment as much time as they want. Once taxpayers are done, they can proceed with the production environment. • Request for authorization to issue electronic invoices in production environment. ◦ Enter to SRI web portal and click "<i>SRI en lined</i>". ◦ Select the "<i>Authorization</i>" option within the "<i>Production</i>" submenu in the "<i>Electronic Invoice</i>" menu. ◦ Enter RUC and password and then send the request ◦ A PDF will be generated indicating the approval or rejection of the request.
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• No actions required.
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• None

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
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Whether outsourcing of invoice issuance (creation) is allowed or not	Allowed
Whether statement of outsourced issuance is required on the invoice	Not required
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	Not explicitly required (However Pagero strongly recommends)
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	N.a.
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	Not explicitly required
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	Not required

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Ecuador has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	B2B
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	Local XML format
Other document format(s) commonly used for exchange between trading parties	RIDE ("<i>Representación Impresa de Documentos Electrónicos</i>" – Printed graphic representation)
Mandated platform(s) required to have connection with for e-document processing	SRI
Other platform(s) relevant for e-document processing	N.a

Schematron(s), XSD schema or other official mechanisms ensuring document content	All XSD and XML and technical document can be found in the following webpage, in section "Technical Information and guides" ("<i>Información técnica y guías</i>")
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	Email and RUC.
Other technical aspects	N.a.

5.2. Communication with SRI

Regulations in Ecuador foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	Web Services
Manual	SRI Web Portal
Other options	None

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

- 1) **The supplier** – Before sending the electronic tax document to SRI, the issuer must comply with the following specifications:
 - a. The electronic tax document must be created in accordance with the local XML format required by SRI.
 - b. The file must be signed with the digital certificate belonging to the taxpayer.
 - c. Batches sent to the SRI must not be larger than 500kb in size (batches of maximum 50 e-documents)

- d. Batches must be sent to SRI no later than twenty-four (24) hours from their issuance, while individual submissions must be sent at the time of the transaction.
- 2) **SRI** – upon receipt of the XML tax file from the supplier, SRI will proceed to perform the following validations and authorization processes.
 - a. SRI will verify that the format received is correct, and then verify that the digital certificate used to sign the XML is valid.
 - b. Those e-documents not authorized by SRI, will be explained with a description message with the reason. In this case the issuer must correct the error detected and send again to SRI (using the same sequential number and access key).
 - c. Those electronic documents authorized by SRI, will become tax valid for legal purposes.
 - d. The SLA establishes that SRI will respond with a clearance notification in no more than twenty-four (24) hours.
- 3) **The buyer** – The buyer will receive the XML and RIDE (electronic printed graphic representation), both digitally signed, from the supplier, by email.
 - a. In case of not having e-mail, the buyer may receive the RIDE in physical format.
 - b. The buyer may validate the received e-document against SRI, even though it's not mandatory (But Pagero strongly recommends it)

5.3.2. Cross-Border

This section describes the requirements for cross border outbound documents such as sales invoices

SRI has created a specific XML format for exportation of goods and services, details which can be seen in the [technical specifications](#), specifically in the section “Annex 4” (“Anexo 4”).

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

Every electronic issuer will be considered also an electronic receptor in Ecuador.

Once the buyer has received the cleared e-invoice from the supplier, it is not mandatory to validate invoice against SRI, but Pagero strongly recommends it.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

5.4.2. Cross-Border

This section describes the requirements for cross border inbound documents such as purchase invoices.

There are no regulations for taxpayers when importing goods.

5.5. AoR (response) process

There is no mandatory acceptance or rejection response in Ecuador from the buyer's side.

5.6. SRI validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

The supplier will be able to consult through the web service *"Authorization consult query"* ("Consulta de respuesta de autorización") if the document has been authorized or not. The possible notifications to receive at the moment of making the consultation are:

- **Authorized:** the access key generated by the issuer will become the authorization number.
- **Not authorized:** In case an e-document has been rejected due to inconsistency problems in its information, the issuer must correct it using the same access key and sequential number, and resend it to SRI.
- **In process:** SRI is still processing the e-document received from the taxpayer.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

If the **recipient is non-electronic**, a graphic printed representation (RIDE) shall be printed and given.

The graphic representation downloaded through SRI web portal, will include a *"time and authorization date"* ("Hora y fecha de autorización"). This information is not mandatory to include it in others RIDE.

If the RIDE has no authorization number/access key, such graphic representation will not be tax valid for legal purposes.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Delivery of the e-document to the recipient: the electronic sender must deliver the document to the receiver considering whether the recipient is an electronic receiver or not.

- **Electronic receiver:** The document exchange is done through an e-mail address. The XML must be sent together with the RIDE, which must be digitally signed.
- **Non-electronic receiver:** Through the physical delivery of the graphic representation (RIDE). However, the non-electronic recipient may authorize the electronic issuer to send the electronic document to an e-mail address.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

In general, corrections in electronic tax documents **will be made with credit/debit notes** to cancel transactions, accept refunds and grant discounts or bonuses.

In cases where invoices are issued erroneously and must be cancelled, issuers may cancel such transactions through the institutional web portal within a period not exceeding ninety (90) days after the date of issuance of the electronic voucher. When the annulment is required after said term has elapsed, a request must be made at the offices of the Internal Revenue Service at the national level, in accordance with the guidelines established for such purpose.

Cancellation requests must be accepted by the taxpayer receiving the electronic document, except for the invoice and remittance advice note, which will be cancelled directly.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Not allowed
Whether the jurisdiction allows for document (e.g. invoice) dematerialization,	• Not allowed

i.e. destruction of the original paper invoice, for processing and/or archiving	
Whether any conditions apply, and which, to the dematerialisation	• N.a.
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• Not allowed
Whether any conditions apply, and which, to the materialisation	• N.a.

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

Contingency operation:

Physical invoices must be issued as a contingency in the event of power failure, damage to the taxpayer's systems or lack of internet connection that does not allow the corresponding information to be transmitted to the SRI, electronic issuers must use self-printed or pre-printed invoices. Once the communication service is reestablished, the electronic service must be restored.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• 01: Invoice ("<i>Factura</i>") • 04: Credit Note ("<i>Nota de Crédito</i>") • 05: Debit Note ("<i>Nota de Débito</i>") • 06: Shipping list ("<i>Guía de remisión</i>") • 07: Retention receipt ("<i>Comprobante de retención</i>")
Documents mandatory for issuance by buyer	• AoR only for negotiable commercial invoice (see section 10 for more info) • 03: Settlement of purchase of goods and rendering of services ("<i>Liquidación de compra de bienes y prestación de servicios</i>")

Item	Commentary
Self-billing allowed	• Yes, 03: Settlement of purchase of goods and rendering of services
Simplified invoice allowed	• Yes

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes • The series will consist of 6 digits. • The sequential number consists of 9 digits.
Different series of sequential numbers allowed (e.g. a separate sequential	• Yes

numbering for intercompany billings, credit notes, etc.)	
Allowed to start a new sequential numbering every year	• No
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No, numbering required per registration • Please consider that in case of a foreign entrepreneur an individual accounting area is mandatory for domestic sales
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

Each invoice in Ecuador has a unique number identifier which is called access key ("*Clave de acceso*"). This UUID is composed of 49 digits, where 8 digits correspond to the issuance date ("*Fecha de emisión*"), 2 digits corresponding to the type of document ("*Tipo de documento*"), 13 digits corresponding to the issuer's RUC, 1 digit corresponding to type of environment ("*Tipo de ambiente*"), 6 digits corresponding to the series of the invoice ("*Serie*"), 9 for the invoice number ("*Número secuencial*"), 8 for the numeric code ("*Código numérico*"), 1 for type of issuance ("*Tipo de emisión*"), and 1 for the check digit related to Module 11 ("*Digito verificador*").

6.3. Indirect tax (IT)⁵ rates

This section illustrates the applied IT⁶ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
12%	Standard	PRODUCTS: Alcoholic beverages, white goods, technology, clothing accessories, accessories and personal care items, footwear, construction materials, among others. SERVICES: Professional fees (apply to doctors and dentists), Teachers, Nurses and therapists, among others.
0%	Zero	PRODUCTS: Corresponds to products that do not undergo any transformation, they are commercialized in their natural state, such as: Agricultural products, poultry, livestock, milk of national production, bread, sugar, panela, salt, butter, margarine, oatmeal, national canned goods,

⁵ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁶ IVA

	medicines, bond paper, newspapers, books, fluorescent lamps. SERVICES: Land transportation, water transportation of passengers and cargo, health, prepaid medicine, housing rental, electricity, water, sewage, education, day care centers, religious, book printing, funeral, public shows, financial and stock market, tourism packages, aerial fumigation, those provided by craftsmen, refrigeration, cooling, insurance, health reinsurance, those provided by social clubs, professional guilds, chambers of production, unions and similar.
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6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Ecuador. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• Yes
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• Yes
Sequential numbering	• Yes, see section 6.2 above
Required to mention copy or duplicate in case a copy is issued	• No
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• No
Full address of the supplier in country of establishment	• Yes, specific codification provided by SRI must be used.
Allowed to mention the PO box address instead of the legal address of the supplier	• No
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes
IT identification number of the supplier in the country of establishment	• No
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• No
Legal form of the supplier	• Yes
Trade register number of the supplier	• Yes, if there is.

Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• Yes
Place of legal seat of the supplier (Headquarters)	• Yes
Other supplier data	• No

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• No
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• No
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• Yes
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• No
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• No
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• No
Date of prepayment	• No
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No

Shipped from location (for the supply of goods)	• Yes
Shipped to location (for the supply of goods)	• Yes
Status of the goods (e.g. in bond, in free circulation)	• No
Incoterms	• Yes, for export invoices
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• No
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• None
Exchange rate (if the invoice is not issued in the local currency)	• Yes
Which exchange rate must be applied in order of priority	• The exchange rate displayed by the central bank of Ecuador
Terms of payment	• Yes, payment term (if there is) and payment method.
IBAN and BIC number of supplier	• No

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• No, it is only mandatory to state the code 7 referring to "Exempt of IVA" ("Exento de IVA") in the cell called "Percentage code" ("CodigoPorcentaje")
List the required references in case of exemption or reverse charge	• N.a.

Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - "supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• Not applicable in LATAM
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• No explicit requirements
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• N.a.
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• Yes, the sales, withholding and complementary electronic documents must contain the legend "CONTRIBUYENTE RÉGIMEN RIMPE" or "CONTRIBUYENTE NEGOCIO POPULAR- RÉGIMEN RIMPE", and other specifications in accordance with Annex 22 of the SRI's electronic documents technical sheet.
Specific references required in case invoicing is outsourced	• There is no specific wording necessary.
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No
Other specific requirements/references to be mentioned on an invoice	• No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing

Possible to issue simplified invoices for certain supplies	• Yes
Maximum amount for simplified invoices	• USD 50
Other supplies for which a simplified invoice can be issued	• POS for public entertaining shows.
Simplified invoices limited to certain type of supplies	• Only to final consumers
Simplified invoices not allowed for certain transactions	• No, only for invoices above USD 50
Minimum content requirements on a simplified invoice	• Same as standard invoice, but without buyer's name, surname, social reason or denomination, and RUC or ID. • Regarding the cell "<i>BuyerIdentification</i>" ("<i>IdentificacionComprador</i>"), it must set "9999999999999999". • In the cell "<i>TypeIDBuyer</i>" ("<i>TipoidentificacionComprador</i>"), the code "04" should be introduced which is related to "<i>Sale to final consumer</i>" ("<i>Venta a consumidor final</i>")
Invoices subject to the national invoice requirements (not self-bills)	• Yes
(other) Invoices subject to the national invoice requirements (not self-bills)	• Yes

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Ecuador, credit and debit notes must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Invoice number • Access key number ("<i>Clave de acceso/Número de autorización</i>") • Type of document ("<i>Tipo de documento</i>") • Recipient's ID required (RUC, Passport, or foreign ID)
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No
Reason for credit required	• Yes

Sequential numbering	
Separate sequential credit note numbering required	• No explicit requirements
Allowed to issue one credit note to correct different invoices	• No explicit requirements

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

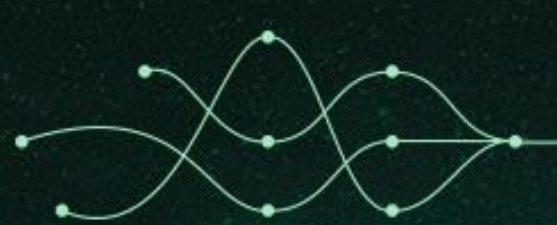
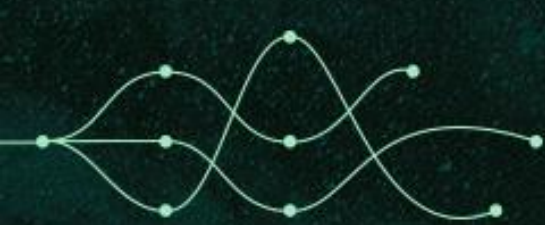
6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

The taxpayer may add additional information in the XML file, beyond that which is required in the electronic document. Notwithstanding the above, there is no predefined structure of the additional data, and the latter has to be defined among the taxpayers themselves.

The printed representations of the electronic documents (RIDE) will have tax and legal validity. Additional data may be printed in the RIDE as required by the taxpayer.

In the printed representations the issuer may incorporate a bar code containing the access code or other optional information code that the taxpayer considers important for its processes.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuring I&A are provisioned for	• E-signature • Access Key ("<i>Clave de acceso</i>")	• Validation of e-document towards SRI
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• Same as above	• Same as above

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• Advance e-signature (XAdES standard)
Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• Not required

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	Optional, it is responsibility of citizens of Ecuador to validate received tax e-documents, but still, not mandatory.
Time-stamping of validation data	No explicit requirements.



8. Document retention

This section describes archiving requirements regarding the invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Original tax electronic document as received (With e-signature) • Cancelled tax documents must be stored as well.
Requirements to present stored documents in a specific audit format	• No specific requirements
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• If the original invoice is in a machine-readable format, the taxable person must offer means to provide human-readability
Retention period for invoices not related to immovable property⁷	• Seven (7) years
Start point of retention period calculation for invoices not related to immovable property	• From the issuance date. If the last day computing day falls into a not working day, then the following working day will be the last one.
Retention period for e- invoices related to immovable property	• N.a.
Start point of retention period calculation for invoices related to immovable property	• N.a.
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• N.a.

⁷ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N.a.
Outsourced archiving	• Allowed
Archiving abroad⁸ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Allowed
Other requirements in relation to electronic document retention	• Invoices must be printable from the archive upon request

⁸ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	No explicit requirements
Rectification document	Yes, see section 6.6 above
Payment instruction	No explicit requirements
SAF-T (or alike) reporting	Yes, ATS (see section 10)
Transportation documents	Yes, shipping list ("<i>Guía de remisión</i>")
Other	None.



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Penalties

The penalties for late or missed submissions will be up to US\$ 250.00 per invoice, and the suspension of economic activity may also apply.

10.2. E-reporting

The simplified transactional annex (ATS) is an informational report regarding monthly transactions that is submitted to SRI in a monthly. It includes the following modules: purchases, sales, payments, withholdings, exports, and cancellations of documents made by the taxpayer. The ATS will be submitted by most of the taxpayers, where they can see in the technical file if they are obliged or not to submit this report (specifically in section one of the "ATS Technical File" – Sp. "*Ficha Técnica ATS*"). The Simplified Transactional Annex (STA), which in theory contains a detailed report of the transactions corresponding to purchases, sales, and exports of VAT and Income Tax withholdings, both issued and received. However, it is important to mention that the STA only reports the information from preprinted or physical vouchers and not the information from e-invoices. For this reason, the information that is reported is no longer of such relevance, since now we all have an obligation to electronic invoices.

Scope Only established entities.

Registration threshold

The STA must be submitted by taxpayers authorized to issue preprinted or physical vouchers. This obligation will expire in November 2023, when it is expected all taxpayers will be issuing e-invoices.

Summary of the types of data to be reported

The STA must contain a detailed report of the transactions corresponding to purchases, sales, and exports of VAT and Income Tax withholdings, both issued and received. However, it is important to mention that the STA only reports the information from preprinted or physical vouchers and not the information from e-invoices. For this reason, the information that is reported is no longer of such relevance, since now we all have an obligation to electronic invoices.

Submission process

Electronic upload of data to the Internal Revenue Service (IRS) portal.

E-Reporting file format XML

Submission frequency

- Monthly.
- Semi-annually for taxpayers part of the entrepreneurs regime (taxpayers with annual revenue not exceeding US \$300,000). Implementation date The obligation arises from the application of tax regulations, so there is no a specific date of implementation. Mostly, it varies according to the ninth digit of the Tax ID.

Penalties

The penalties for late or missed submissions will be up to US\$ 250.00 per report.

10.3. AoR for invoices with factoring purposes

In Ecuador, taxpayers have the possibility to send a "*Notification of Negotiable Commercial Invoice*" – Sp. "*Notificación de Fatura Comercial Negociable*", where the issuer of an invoice previously authorized by SRI, may send a notification to the buyer of the corresponding invoice in order to negotiate such invoice with factoring companies.

The buyer will have the possibility to accept or reject such notification sent by the issuer of the invoice that has already been accepted by SRI. If the buyer accepts such notification, the invoice may be negotiated by the issuer (supplier) with different factoring companies. Otherwise, if the recipient chooses to "reject" the negotiable commercial invoice notification sent by the issuer, the invoice already authorized by SRI cannot be negotiated by the issuer with factoring companies.

10.4. Penalties for non-compliance

Since 30 November 2022, all taxpayers in Ecuador are mandated to comply with the regulations regarding issuance of electronic tax documents.

The sanctions that will receive those taxpayers for issuing electronic invoices not valid under the sight of SRI, will imply fines between 30 USD to 1.500 USD, for each electronic

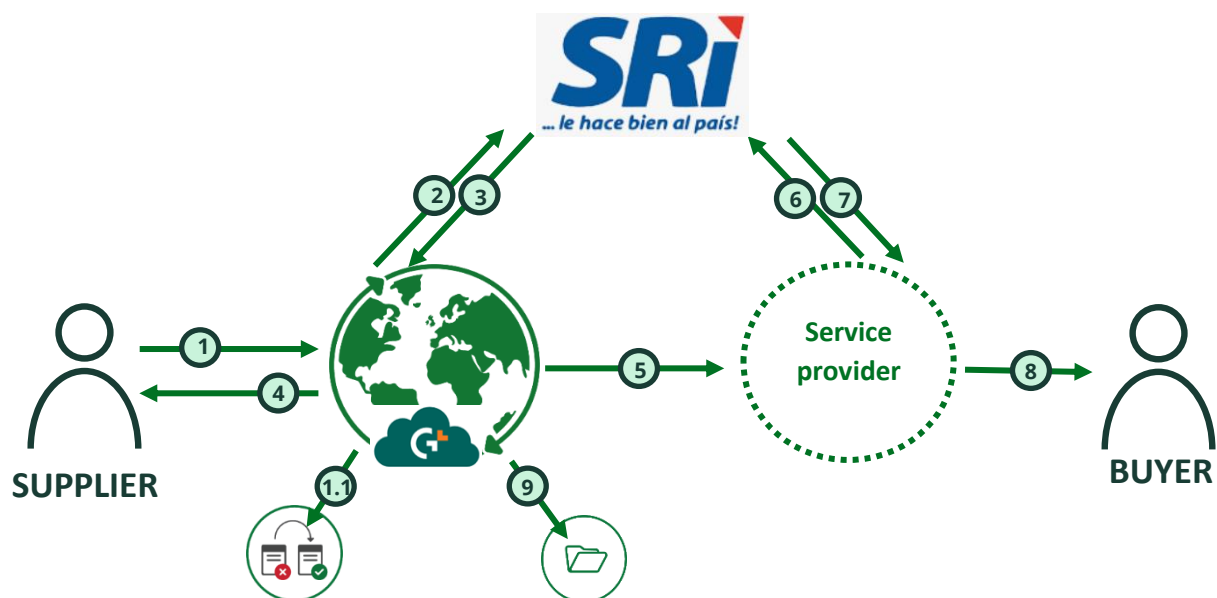
tax document not valid. SRI will have the faculties to close businesses not issuing invoices by the regulated means.

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

Pagero uses GoSocket as a partner in LATAM, which is owned by Pagero Group.

11.1. Document issuance (AR) with Pagero



1. Supplier provides data in supplier preferred format to PAGERO.
 - 1.1. PAGERO performs content validation, content enrichment, format conversion, applies e-signature, etc.
2. PAGERO sends the e-document to SRI in a mandatory format.
3. PAGERO receives a clearance notification (Approved/Rejected) from SRI in local XML format.
4. PAGERO sends the clearance notification to the supplier.
5. PAGERO distributes the authorized tax document to RSP/Buyer (Recipient Service Provider).
6. RSP/Buyer validates the tax e-document against SRI.

7. RSP/Buyer receives validation success or not.
8. The RSP sends the validated tax e-document to the buyer together with the RIDE (graphic representation).
9. PAGERO archives all relevant e-document regarding the transaction on behalf of the buyer.

11.2. Document reception (AP) with Pagero



1. Supplier provides data in supplier preferred format to the sending service provider (SSP)
2. SSP/Supplier sends the e-document to SRI for clearance.
3. SSP/Supplier receives the clearance notification from SRI (Approved/Rejected).
4. SSP sends the clearance response notification to the supplier.
5. SSP/Supplier sends the authorized tax e-document to PAGERO.
6. PAGERO validates the received e-document against SRI.
7. PAGERO receives the validation response from SRI instantly.
 - 7.1. PAGERO proceeds to perform data content validation, format conversion, data enrichment, etc.
8. PAGERO delivers the validated tax e-document to the buyer with the corresponding RIDE (graphic representation).
9. PAGERO archives all the relevants documents regarding the transaction on behalf of the buyer.



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
10 February 2023	Document created
09 August 2023	Section 10.1 penalties